

We can overcome the confirmation bias by examining all data, confirming as well as disconfirming. Consider, in particular, an examination of the hypothesis that low dividend yields forecast low returns while high dividend yields forecast high returns. Define dividend yields as high if they exceed their median over the 128 years from 1872 through 1999 and as low if they fall below it. The median dividend yield for the period was 4.43 percent. Define one-year returns as high and low in a similar fashion. The median return was 10.50 percent. [Table 6.1] presents a schematic view of the frequency of observations in the four cells of a matrix. The first cell includes observations where dividend yields were low and subsequent returns were low. These are positive hits. The fourth cell has observations where dividend yields were high and subsequent returns were also high. These are negative hits. Positive hits and negative hits are confirming evidence, observations consistent with the hypothesis that low dividend yields forecast low returns and high dividend yields forecast high returns. The other two cells have disconfirming evidence. That is, the second cell includes false positive observations where dividend yields were low but subsequent returns were high, and the third cell is the false negatives, observations where dividend yields were high but subsequent returns were low. False positives and false negatives are disconfirming evidence. Correct analysis of the hypothesis requires examination of all four cells. Those who examine only the positive and negative hits fall prey to the confirmation bias. The confirmation bias is common. Consider, for example, Prechter's discussion of low dividend yield as a forecaster of low returns, "August 1987 saw a historically high valuation of dividends, beating out even that of 1929. The result was a 1,000 point crash." Prechter's observation is a positive hit, an observation consistent with the hypothesis that low dividend yields (i.e., "high valuation of dividends") forecast low returns. But we need an account of false positives and false negatives as well. Consider dividend yields as forecasters of one-year returns. It turns out, as presented in [Table 6.2], that there are 33 positive hits in the first cell and 33 negative hits in the fourth.³

These are consistent with the hypothesis that low dividend yields forecast low returns, while high dividend yields forecast high returns. But the evidence against the hypothesis is almost as strong as the evidence for it; there are 31 false positives in the second cell and 31 false negatives in the third. The deviations of actual observations from those expected by chance alone are too small to be statistically significant. We can conclude only that dividend